Xander Salais
ISBA 3305 – SDLE 14

Customer Churn Rate

Term or Concept	Definition	Example	Sources/Citations
Customer Churn Rate	Churn rate is the percentage of customers who cancel or stop buying from you in a set amount of time, usually a month. If you start the month with 1,000 subscribers and 20 cancel, your churn is 2%. It matters because it costs a lot more to win a new customer than to keep one you already have, so even a small drop in churn can make a big difference in profit.	Netflix has the lowest churn of any major streaming service, around 2% a month, while most competitors are closer to 4 to 7%. They do it by tracking what people watch and pause, recommending shows that fit, and reaching out to people whose viewing drops off before they cancel.	Antenna. (2024). State of subscriptions: Premium SVOD. Antenna. https://www.antenna.live/research Gallo, A. (2014, October 29). The value of keeping the right customers. Harvard Business Review. https://hbr.org/2014/10/the-value-of-keeping-the-right-customers HubSpot. (2024). What is customer churn? HubSpot. https://blog.hubspot.com/service/what-is-customer-churn Laudon, K. C., & Laudon, J. P. (2022). Management information systems: Managing the digital firm (17th ed.). Pearson.

Essay:

I picked churn rate because it is a simple number that explains a lot. Churn is just the percentage of customers who leave in a given month. If you start with 1,000 subscribers and 20 cancel, that is 2% churn. What I did not realize is how much that number controls everything else. The chapter says it costs five to seven times more to get a new customer than to keep one, so a company that is leaking customers has to spend a ton on marketing just to stay in the same place.

Netflix is the example that made it click for me. Their churn is around 2% a month, which is about the lowest in streaming. Most of their competitors are somewhere between 4 and 7%. That gap sounds small but it adds up fast when you have 280 million subscribers. The way they keep it low is by using the data they already have. They track what people watch, what they pause, and how often they log in. If someone has not opened the app in a couple of weeks, that is a warning sign, and they will push a show they think that person will like before they get around to cancelling. That is what the chapter calls analytical CRM, and Netflix basically built their business on it.

What I take from this is that keeping customers is more of a data problem than a sales problem. Netflix does not call people and beg them to stay. They just pay attention to behavior and act on it early. I think a lot of smaller companies could do a version of that with the CRM tools they already pay for, but most of them only look at churn after people are already gone.